

Delivery Performance & Review Risk

Brazilian e-commerce marketplace · 95,824 delivered orders · \$15.3M GMV

BOTTOM LINE

Late delivery is the single biggest driver of 1-star reviews. It affects only 8% of orders, but those orders carry \$484K of revenue and are 7x more likely to be rated 1 star.

LATE DELIVERY RATE

8.0%

7,661 orders past promise

1-STAR RATE IF LATE

46.2%

vs 6.6% when on time

REVENUE AT RISK

\$484K

3.2% of total GMV

RECOVERABLE

\$397K

with a 3-day promise buffer

Three findings

1 The damage is not linear — there is a cliff after day 3

Orders delivered 1–3 days late get a 13.8% 1-star rate. Past day 3 it jumps to 53%, and past day 7 it reaches 69%. Buyers tolerate a small slip; they do not tolerate a large one. The promised date is currently set too tight.

Action: add a 3-day buffer to the promised date → ~2,485 fewer 1-star reviews, \$397K of GMV protected

2 The delay is in carrier transit, not seller handling

On late orders, sellers take 5.3 days to hand the parcel to the carrier versus 2.6 on on-time orders — 2.7 extra days. Carrier transit takes 25.7 days versus 7.9 — 17.8 extra days. The carrier accounts for 87% of the gap. 8.7% of all orders spend more than 20 days in transit.

Action: audit carrier SLAs by lane before pressuring sellers → root cause of 87% of the delay

3 Late-delivery spikes are seasonal and predictable

The late rate is normally 3–5%. It spiked to 14% in November 2017 (Black Friday) and 16–21% in February–March 2018, pulling the average review score from 4.31 down to 3.81. Those four months alone account for 52% of all late orders in the period.

Action: pre-book carrier capacity for Nov and Feb–Mar → the spikes are known in advance, not random

Supporting detail

DELIVERY VS. PROMISED DATE	ORDERS	AVG SCORE	1-STAR RATE	REVENUE
3+ days early	83,458	4.30	6.5%	\$13.3M
0–3 days early	4,705	4.13	7.9%	\$684K
1–3 days late	2,636	3.77	13.8%	\$415K
4–7 days late	1,773	2.32	53.0%	\$307K
8–15 days late	1,917	1.73	68.6%	\$345K
15+ days late	1,335	1.72	69.0%	\$245K

Scope: delivered orders with a matched customer review. Revenue = item price + freight. Revenue at risk = excess 1-star orders attributable to lateness × \$159.56 AOV.
Source: Olist Brazilian E-Commerce public dataset (99,441 orders, Sep 2016 – Oct 2018).